

Amazon.com, Inc.

AMZN NASDAQ

|     |                  |                              |                                      |                       |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|
| Buy | \$228.73 ▼ 1.15% | 12M Price Target<br>\$265.00 | 52-Week Range<br>\$196.00 – \$278.56 | Market Cap<br>\$2.46T |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|

AMZN: Sliding Into Earnings, But Fundamentals Still Intact

WHAT HAPPENED

- AMZN has now dropped 5 straight sessions — down ~6.5% from last Tuesday. Today's volume is really light (10M vs the usual 35M), which tells me this isn't panic selling — it's more like buyers stepped aside ahead of earnings later this week. When volume dries up on a down move, that's usually drift, not conviction selling.
- The big headline: Amazon just topped the Fortune Global 500, ending Walmart's 12-year run as the world's largest company by revenue. Symbolic, but it matters — it signals AWS + retail combined has quietly become the biggest revenue machine on the planet. Yet the stock is falling. That gap between narrative and price tells you the market is worried about something specific (margins, tariffs, or AI capex payback).

WHY IT MATTERS

The options flow is screaming caution — the put/call ratio at 1.07 with massive unusual put buying at \$282.50, \$295, and \$300 strikes means big money is either hedging or betting against a post-earnings pop. That's over \$30M in notional put premium bet against upside — someone with real capital thinks the ceiling is capped. Combine that with the sector rotation happening right now (money flowing INTO Consumer Staples +3.9% and Healthcare +2.6%, which are defensive plays), and the message is clear: institutions are getting risk-off ahead of Big Tech earnings. That said, the fact that AMZN is only at 40% of its 52-week range while just becoming the world's #1 company by revenue is a setup — if earnings deliver on AWS growth (>17% YoY) and AI monetization, this thing snaps back to \$250+ fast.

POLICY & POLITICAL WATCH

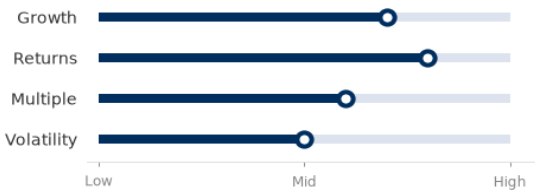
Two big political overhangs right now: (1) The Trump administration's tariff regime — Amazon sources a huge chunk of third-party seller inventory from China, and any escalation directly pressures retail margins and consumer prices on the platform. Watch for any new tariff announcements this week. (2) The FTC antitrust case is still grinding forward — the government wants to force Amazon to unwind parts of its marketplace, and while a breakup is unlikely, settlement costs and behavioral remedies are real. On the tailwind side: federal AI infrastructure spending continues to flow to AWS through defense and intelligence contracts (JWCC contract), and any AI-friendly executive orders help entrench the hyperscalers.

IS IT EXPENSIVE?

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$228.73 |
| 12M Price Target    | \$265.00 |
| Upside / (Downside) | +15.9%   |
| Market Cap          | \$2.46T  |
| FY2026E Revenue     | \$715M   |
| FY2027E Revenue     | \$790M   |
| FY2026E EPS         | \$6.85   |
| FY2027E EPS         | \$8.20   |
| Fwd P/E             | 33.4x    |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$250.00  | \$235.00  | \$215.00  |
| 6 Months  | \$275.00  | \$250.00  | \$210.00  |
| 1 Year    | \$310.00  | \$265.00  | \$200.00  |
| 2 Years   | \$360.00  | \$300.00  | \$190.00  |
| 5 Years   | \$500.00  | \$400.00  | \$220.00  |
| 10 Years  | \$800.00  | \$600.00  | \$250.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Consumer Staples (+3.9%) and Healthcare (+2.6%) — classic defensive rotation. This screams "institutions are de-risking ahead of Big Tech earnings and possible tariff escalation." Materials also strong (+2.2%), which often signals inflation expectations creeping back.

**COOLING OFF:** Tech (implied by AMZN's own slide and lack of tech in the top movers) — the AI trade is taking a breather as investors demand proof that all this capex is generating returns.

**ROTATION WATCH:** Money is moving from growth/AI names into defensive sectors — that's not a permanent shift, it's positioning ahead of earnings week. If AMZN, MSFT, and META deliver strong prints, expect the rotation to reverse violently.

**RELATED PLAY:** If AMZN's AWS numbers are strong, the picks-and-shovels plays win too — think NVDA (chips), VRT (data center cooling), and data center REITs like DLR and EQIX. Those benefit from Amazon's capex regardless of what happens to AMZN's stock.

WHO'S WINNING IN THIS SPACE?

- WMT (Walmart): Still executing well on retail even after losing the #1 revenue crown — defensive retail is winning right now.
- UPS (United Parcel Service): Just raised full-year guidance, showing shipping/logistics demand is holding up — indirect positive read for Amazon's retail volume.

**AMZN CONTEXT:** Amazon is lagging its Mag 7 peers this week — sitting at 40% of its 52-week range while others are closer to highs. That relative underperformance is either a coiled spring (setup for a rip on earnings) or a warning that smart money knows something. The options flow leans toward "warning" — but the fundamentals still favor "coiled spring." I'd rather be long into the print than short.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**Position Size:** 4-6% of portfolio

**Entry Points:** \$220-228 into earnings, add on any dip to \$210

**Time Horizon:** 12-24 months

**Thesis Invalidation:** AWS growth decelerates below 15% YoY or FTC forces structural breakup

**Hedging:** Buy protective puts around earnings or pair with a short on a higher-multiple cloud peer